

COMMERCIAL LEASE AGREEMENT

THIS LEASE AGREEMENT ("Lease") made this 15th day of June, 2023, between **TEXAS RETAIL PROPERTIES INC.**, a Texas corporation ("Landlord"), and **SKYLINE STORES**, a Delaware corporation ("Tenant").

PRELIMINARY STATEMENTS

- A. Landlord owns the Sunshine Outlet Mall, a 315,000 square foot regional outlet center in Dallas, Texas.
- B. Tenant is a national retailer operating outlet format stores throughout the United States.
- C. Landlord desires to lease to Tenant, and Tenant desires to lease from Landlord, approximately 25,000 square feet of retail space.
- D. This location will serve as Tenant's flagship outlet location in the Dallas-Fort Worth metroplex.

ARTICLE 1 - FUNDAMENTAL LEASE PROVISIONS

1.1 Basic Terms Summary

Lease Component	Details
Premises:	25,000 RSF, Suite 100 (see Exhibit A)
Store ID:	S007
Property Address:	100 Sun Drive, Dallas, TX 75201
Shopping Center:	Sunshine Outlet Mall
Tenant's Share:	7.94% (25,000 ÷ 315,000)
Term:	Five (5) years
Commencement:	July 1, 2023
Expiration:	June 30, 2028
Base Year:	2023 (Expenses and Taxes)
Security Deposit:	Letter of Credit for \$83,334

1.2 Base Rent Schedule

Lease Year	Period	Monthly Base Rent	Annual Total	Rate PSF
Year 1	7/1/23-6/30/24	\$41,667	\$500,000	\$20.00
Year 2	7/1/24-6/30/25	\$43,333	\$520,000	\$20.80
Year 3	7/1/25-6/30/26	\$45,083	\$541,000	\$21.64
Year 4	7/1/26-6/30/27	\$46,917	\$563,000	\$22.52
Year 5	7/1/27-6/30/28	\$48,833	\$586,000	\$23.44

ARTICLE 2 - LEASE GRANT AND TERM

2.1 Demise of Premises

Landlord hereby demises and leases to Tenant, and Tenant hereby leases and takes from Landlord, the Premises shown on **Exhibit A**, containing approximately 25,000 square feet of ground floor retail space, together with:

- Non-exclusive use of Common Areas
- Exclusive use of receiving area "A"
- Signage rights per Article 12
- All appurtenant rights and easements

2.2 Term

The Term commences July 1, 2023 and expires June 30, 2028, plus any properly exercised renewal terms.

2.3 Renewal Options

Two (2) successive renewal terms of three (3) years each:

- Written notice 9 months before expiration
- No uncured defaults
- Rent at greater of: (a) 103% of last year's rent, or (b) 95% FMV
- FMV determined by broker/appraiser process

2.4 Delivery and Condition

Premises delivered in "white box" condition:

- Demised with drywall to deck
- Concrete floors (sealed)
- Electrical: 1200-amp service stubbed

- Plumbing: Roughed to Premises
- HVAC: Roof penetrations only
- Storefront: Opening framed
- Code-compliant for retail use

ARTICLE 3 - RENT AND ADDITIONAL CHARGES

3.1 Base Rent

Base Rent per schedule, payable monthly in advance, without offset or deduction.

3.2 Percentage Rent

2.5% of Gross Sales exceeding:

- Year 1: \$6,000,000
- Year 2: \$6,250,000
- Year 3: \$6,500,000
- Year 4: \$6,750,000
- Year 5: \$7,000,000

3.3 Operating Expenses

Tenant pays its Share of Operating Expenses over Base Year (\$945,000), including:

- Property management (3.5% cap)
- CAM and repairs
- Security services
- Insurance premiums
- Utilities for Common Areas
- Administrative (5% cap)
- Capital improvements (amortized)

Exclusions: Leasing commissions, tenant improvements, debt service, depreciation

3.4 Real Estate Taxes

Tenant pays its Share of Taxes over Base Year (\$567,000). Includes all impositions except Landlord's income taxes.

3.5 Common Area Utilities

Tenant's Share of:

- Parking lot lighting
- Common Area HVAC
- Irrigation systems
- Security lighting

3.6 Marketing Fund

Contribution: \$0.50 PSF annually (\$12,500/year) **Uses:** Regional advertising, events, tourism marketing, digital campaigns

3.7 Estimated Additional Rent

- Monthly estimate: \$18,750
- Annual reconciliation by March 31
- True-up within 30 days
- Audit rights with 90-day notice

ARTICLE 4 - USE AND CONTINUOUS OPERATION

4.1 Permitted Use

Exclusively as a Skyline Outlet Store for:

- First-quality outlet merchandise
- Overstock and clearance items
- Special purchase goods
- Online order fulfillment
- Customer returns processing

Quality Standards: No seconds/irregulars exceeding 15% of inventory

4.2 Operational Requirements

- **Hours:** 10 AM - 9 PM Mon-Sat; 11 AM - 7 PM Sunday
- **Peak Hours:** Extended hours for holidays/sales
- **Staff:** Adequately staffed at all times
- **Inventory:** Fully stocked and merchandised

4.3 Prohibited Uses

- Warehouse/distribution center
- Discount/dollar store format
- Temporary/seasonal operation
- Any non-retail use
- Cannabis-related products

4.4 Going Dark

Prohibited except:

- Remodeling (max 45 days with notice)
- Force Majeure events
- Casualty restoration **Penalty:** Additional rent of \$15,000/month while dark

4.5 Radius Restriction

No Skyline outlet store within 7 miles for Term plus 2 years.

ARTICLE 5 - CONSTRUCTION AND IMPROVEMENTS

5.1 Initial Tenant Improvements

Tenant Improvement Allowance: \$750,000 (\$30 PSF)

- Plans approved within 30 days
- Construction by approved GC
- Completion within 150 days
- Disbursed per **Exhibit C** terms

5.2 Tenant's Work Obligations

All work at Tenant's cost beyond TI Allowance:

- Interior build-out per plans
- HVAC system installation
- Interior lighting and electrical
- Plumbing connections
- Storefront and signage

- Fixtures and equipment

5.3 Construction Requirements

- Licensed contractors only
- Payment/performance bonds if >\$500,000
- Insurance per Landlord standards
- Daily cleanup required
- Comply with center rules

5.4 Future Alterations

- **Non-Structural <\$50,000:** Notice only
- **All Others:** Prior written approval
- **End of Term:** Remove alterations if requested
- **Trade Fixtures:** Tenant's property

ARTICLE 6 - REPAIRS AND MAINTENANCE

6.1 Tenant's Maintenance

TENANT maintains/repairs/replaces:

- Entire interior of Premises
- Storefront glass and doors
- **All HVAC equipment serving Premises**
- Interior utilities and fixtures
- Flooring and finishes
- Signage (all types)
- Pest control inside

6.2 Landlord's Maintenance

LANDLORD maintains:

- Roof structure and membrane
- Foundation and structural elements
- Common Areas and parking
- Exterior building walls

- Site drainage systems
- Common Area lighting

6.3 HVAC Responsibility Detail

TENANT'S FULL HVAC RESPONSIBILITY:

- Install new RTU systems (5 units required)
- All maintenance and repairs
- Replacement when needed
- Energy management compliance
- Condensate line maintenance
- No cost sharing with Landlord

6.4 Maintenance Standards

First-class retail standards required. Annual HVAC service contracts mandatory.

6.5 Roof Access

Tenant access for HVAC maintenance only. No penetrations without consent. Damage repairs at Tenant cost.

ARTICLE 7 - UTILITIES AND SERVICES

7.1 Tenant's Direct Utilities

Separately metered and paid by Tenant:

- **Electricity:** 1200-amp 3-phase service
- **Natural Gas:** 2-inch service
- **Water/Sewer:** Separate meters
- **Telecommunications:** Per Tenant's needs
- **Refuse:** Exclusive container

7.2 Utility Installation

Tenant installs all distribution from meter points. Landlord provides meter locations and stub-outs only.

7.3 Common Area Services

Provided by Landlord (cost in CAM):

- Parking lot lighting (dusk to dawn)
- Security patrols (peak hours)
- Common Area maintenance
- Landscaping and irrigation
- Snow removal (if applicable)

7.4 Interruption

No liability for interruptions beyond control. Landlord uses reasonable efforts to restore. Abatement after 5 days material interruption.

ARTICLE 8 - INSURANCE AND INDEMNIFICATION

8.1 Tenant's Insurance Program

Coverage Type	Minimum Limits	Additional Terms
General Liability	\$3M per occurrence/\$5M aggregate	Landlord additional insured
Property	Replacement cost value	Special form coverage
Business Interruption	18 months rent + expenses	Actual loss sustained
Auto Liability	\$2M combined	Owned/hired/non-owned
Workers' Comp	Statutory	Waiver of subrogation
Umbrella	\$15M	Follow form
HVAC Equipment	Full replacement	Tenant owned equipment

8.2 Insurance Requirements

- A- VII or better rating (A.M. Best)
- Admitted carriers in Texas
- Primary/non-contributory
- 30-day cancellation notice
- Annual certificates required
- Waiver of subrogation all policies

8.3 Landlord's Insurance

Property insurance on building shell and general liability for Common Areas. Tenant not insured.

8.4 Mutual Indemnification

Each party indemnifies other for its negligence/willful misconduct:

- Excludes consequential damages
- Excludes lost profits
- Survives termination
- Insurance primary source

8.5 Waiver of Claims

Each party waives claims against other to extent covered by required insurance.

ARTICLE 9 - CASUALTY AND CONDEMNATION

9.1 Damage Matrix

Damage Extent	Restoration Time	Rights
<35% of Premises	<180 days	Landlord must restore
35-65% of Premises	<270 days	Either party may terminate
>65% of Premises	Any time	Either party may terminate
Any % last 18 months	>90 days	Tenant may terminate

9.2 Landlord's Restoration

Limited to shell and Landlord's improvements. Tenant restores its improvements using insurance proceeds.

9.3 Rent Abatement

Proportionate abatement during restoration. No abatement if damage caused by Tenant.

9.4 Condemnation Rights

- **Entire Premises:** Lease terminates
- **>30% of Premises:** Tenant may terminate
- **>40% parking:** Tenant may terminate
- **Temporary taking:** Rent abates

9.5 Awards

All awards to Landlord except Tenant may claim separately for:

- Trade fixtures and inventory

- Moving and relocation costs
- Business interruption losses

ARTICLE 10 - TRANSFERS

10.1 Restriction on Transfer

No Assignment or Subletting without Landlord's prior written consent. Consent not unreasonably withheld, conditioned, or delayed.

10.2 Permitted Transfers

No consent required for:

- Parent/subsidiary (>50% owned)
- Corporate reorganization
- Sale of substantially all assets with assumption
- Franchisee operating as Skyline

10.3 Transfer Process

- Written request with full information
- Response within 20 business days
- Recapture right for full Premises assignment
- Transfer fee: \$3,500

10.4 Conditions to Consent

- No release of Tenant
- Direct assumption by transferee
- Net worth equal/greater than Tenant
- Experience in outlet retail

10.5 Excess Rent

Landlord receives 50% of rent exceeding Tenant's Rent (after Tenant's reasonable costs).

ARTICLE 11 - DEFAULT AND REMEDIES

11.1 Events of Default

Monetary: 5 days after written notice **Non-monetary:** 30 days after notice (or commence) **Automatic:** Bankruptcy, abandonment, chronic default **Cross-default:** Default under other Skyline/Landlord leases

11.2 Landlord's Remedies

- Terminate Lease
- Terminate possession only
- Accelerate 6 months rent
- Specific performance
- Self-help plus 15%
- All legal/equitable remedies

11.3 Mitigation

Landlord uses reasonable efforts but may prioritize other vacancies and reject below-market tenants.

11.4 Tenant Remedies

- Cure and offset costs
- Specific performance
- Actual damages only
- Injunctive relief

11.5 Late Charges and Interest

5% late charge after grace period. Default interest at Prime + 5% (max legal rate).

11.6 Attorneys' Fees

Prevailing party recovers reasonable fees and costs in any proceeding.

ARTICLE 12 - SPECIAL PROVISIONS

12.1 Signage Package

Building Signage:

- Two facade signs (200 SF each max)
- Blade sign at entrance
- LED channel letters required

Center Signage:

- Top tier on both highway pylons
- Monument sign at main entrance
- Directional signage as needed

Criteria: Per **Exhibit D** specifications

12.2 Co-Tenancy Requirements

Opening: 70% leased and 60% open **Operating:** If <55% occupied for 6+ months:

- Pay lesser of: (a) 70% Base Rent, or (b) 6% of Gross Sales
- After 12 months: Termination right
- Excludes temporary closures for remodeling

12.3 Exclusive Use Rights

Granted Exclusives:

- General merchandise outlet >20,000 SF
- Mass merchant format
- One-stop shopping concept

Permitted Exceptions:

- Existing tenants
- Specialty retailers <10,000 SF
- Single-category stores

12.4 Parking Rights

- **Ratio:** 6.0 spaces per 1,000 SF (150 spaces)
- **Employee:** 30 designated spaces
- **Customer:** Non-exclusive front/side
- **Holiday:** Overflow area available

12.5 Environmental Matters

- Phase I ESA delivered (clean)
- No underground tanks
- Tenant indemnifies for its activities
- Hazmat limited to consumer products

- Immediate spill notification

12.6 Expansion Options

ROFO Space: Adjacent 10,000 SF if available **Terms:** Current market rent **Notice:** 30 days to exercise **Use:** Must be integrated operation

12.7 Outparcel Opportunity

First right on Pad C development (1.2 acres) for:

- Tire/lube center
- Garden center
- Separate ground lease at FMV

12.8 Sales Reporting

- Monthly by 15th via portal
- Annual certified statement
- Books/records audit rights
- POS connection optional

12.9 Sustainability Initiatives

- LED retrofit required
- Recycling participation mandatory
- Energy Star appliances
- Water conservation fixtures
- Green cleaning products

12.10 Security Deposit

\$83,334 Letter of Credit:

- Evergreen with 1-year term
- Drawable on default
- Reduction to \$50,000 after Year 3 if no defaults
- Return within 30 days after Term

ARTICLE 13 - GENERAL PROVISIONS

13.1 Notices

All notices in writing via certified mail or overnight delivery:

To Landlord: Texas Retail Properties Inc. 1500 Main Street, Suite 3500 Dallas, TX 75201 Attn: Legal Department Email: legal@texasretail.com

To Tenant: Skyline Stores 500 Commerce Drive Dallas, TX 75201 Attn: Real Estate Legal Email: re-legal@skylinestores.com

13.2 Estoppel Certificates

- Due within 10 business days
- Form per **Exhibit E**
- Silence = confirmation
- Required for financing/sale

13.3 Subordination and Attornment

- Automatic to all mortgages
- Tenant to attorn to successor
- SNDA from current lender within 60 days
- Recognition of Lease required

13.4 Financial Information

- Annual statements within 120 days
- Quarterly sales reports
- Confidential treatment
- Used only for financing/sale

13.5 Memorandum of Lease

- May record short form
- Landlord approval of form
- Tenant pays recording costs
- Must terminate of record

13.6 Force Majeure

Excuses non-monetary performance:

- Natural disasters
- War/terrorism
- Government actions
- Pandemic/epidemic
- Labor disputes
- Not financial inability

13.7 Governing Law and Venue

- Texas law applies
- Venue in Dallas County
- Jury trial waived by both
- Personal jurisdiction consented

13.8 Entire Agreement

- Supersedes all prior agreements
- No oral modifications
- Amendments in writing only
- Survival of specified provisions

13.9 Brokers

Landlord: Marcus & Millichap **Tenant:** CBRE Commission per separate agreement. Indemnity for other claims.

13.10 Counterparts and Electronic Signatures

- Multiple counterparts allowed
- Electronic signatures valid
- PDF transmission effective
- Original to follow

13.11 Joint and Several Liability

If multiple Tenants, liability is joint and several.

13.12 Time of Essence

Time is of the essence for all dates and deadlines.

13.13 No Waiver

No waiver unless written. Single waiver not continuing.

13.14 Quiet Enjoyment

Tenant has quiet enjoyment if not in default.

13.15 Authority

Signatories warrant full authority and corporate approval.

13.16 Interpretation

- Headings for reference only
- Include/including not limiting
- Business days exclude holidays
- Reasonable = commercially reasonable

13.17 Guaranty

Unconditional Guaranty from Parent per **Exhibit F**.

EXECUTION PAGE

IN WITNESS WHEREOF, the parties have executed this Lease as of the date first written above.

LANDLORD: TEXAS RETAIL PROPERTIES INC.

By: _____

Name: William Harrison

Title: President and CEO

Date: June 15, 2023

TENANT: SKYLINE STORES

By: _____

Name: Maria Gonzalez

Title: EVP - Real Estate and Development

Date: June 15, 2023

GUARANTOR: SKYLINE STORES HOLDINGS, INC.

By: _____

Name: James Wilson

Title: Chief Financial Officer

Date: June 15, 2023

LIST OF EXHIBITS

Exhibit A - Floor Plan of Premises **Exhibit B** - Site Plan Showing Location **Exhibit C** - Work Letter and TI Allowance Terms **Exhibit D** - Signage Criteria and Specifications

Exhibit E - Form of Estoppel Certificate **Exhibit F** - Unconditional Guaranty **Exhibit G** - Rules and Regulations **Exhibit H** - Exclusive Use Provisions **Exhibit I** - Form of SNDA **Exhibit J** - Delivery Condition Specifications **Exhibit K** - List of Approved Contractors **Exhibit L** - Sales Reporting Requirements **Exhibit M** - Parking Plan and Employee Areas **Exhibit N** - Environmental Reports Summary